

**OPERATING AGREEMENT**  
**FOR**  
**HALL PROPERTY INVESTMENTS, LLC**

Effective: \_\_\_\_\_, 2022



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**OPERATING AGREEMENT  
OF  
HALL PROPERTY INVESTMENTS, LLC**

*Effective \_\_\_\_\_, 2022*

The undersigned, all persons of the full age of majority, acting as the members (“Members”) of **HALL PROPERTY INVESTMENTS, LLC**, a limited liability company (the “Company”) formed under the provisions of Chapter 22 of Title 12 of the Louisiana Revised Statutes Annotated (“Limited Liability Company Law”), do hereby adopt the following Operating Agreement (“Agreement”) for the purposes recited herein.

**Explanatory Statement**

The parties have agreed to organize and operate a limited liability company in accordance with the terms and subject to the conditions set forth in this Agreement.

NOW, THEREFORE, for good and valuable consideration, the parties, intending legally to be bound, agree as follows:

**ARTICLE I  
DEFINED TERMS**

The following capitalized terms shall have the meanings specified in this Article I. Other terms are defined in the text of this Agreement and, throughout this Agreement, those terms shall have the meanings respectively ascribed to them.

“*Adjusted Asset Value*” means with respect to any asset, the asset’s adjusted basis for federal income tax purposes, except as follows:

(a) The initial Adjusted Asset Value of any asset contributed by an Interest Holder to the Company shall be the gross fair market value of such asset, as determined by the contributing Interest Holder and the Company;

(b) The Adjusted Asset Values of all Company assets shall be adjusted to equal their respective gross fair market values, as determined by the Managers, as of the following times:

(i) The acquisition of an additional interest in the Company by any new or existing Interest Holder in exchange for more than a de minimus capital contribution;

(ii) the distribution by the Company to an Interest Holder of more than a de minimus amount of Company money or property as consideration for an interest in the Company; and

(iii) the liquidation of the Company within the meaning of Regulations Section 1.704-1(b)(2)(ii)(g).

(c) The Adjusted Asset Value of any Company asset distributed to any Interest Holder (including any asset deemed distributed in a constructive liquidation of the Company pursuant to Code Section 708(b)(1)(B)) shall be immediately prior to said distribution) the gross fair market value of such asset on the date of distribution; and

(d) The Adjusted Asset Values of Company assets shall be increased (or decreased) to reflect any adjustments to the adjusted basis of such assets pursuant to Code section 734(b) or Code section 743(b), but only to the extent that such adjustments are taken into account in determining Capital Accounts pursuant to Regulations section 1.704-1(b)(2)(iv)(m); provided, however, that Adjusted Asset Values shall not be adjusted pursuant to this Paragraph (d) to the extent the Managers determine that an adjustment pursuant to Paragraph (b) above is necessary or appropriate in connection with a transaction that would otherwise result in an adjustment pursuant to this Paragraph (d).

(e) If the Adjusted Asset Value of an asset has been determined or adjusted pursuant to Paragraph (a), (b) or (d) above, such Adjusted Asset Value shall thereafter be adjusted by the Depreciation taken into account with respect to such asset for purposes of computing Profits and Losses.

“*Affiliate*” means, with respect to any Interest Holder, any Person: (i) which owns more than fifty percent (50%) of the voting interests in the Interest Holder, or (ii) in which the Interest Holder owns more than fifty percent (50%) of the voting interests, or (iii) in which more than fifty percent (50%) of the voting interests are owned by a Person who has a relationship with the Member or Interest Holder described in clause (i) or (ii) above.

“*Agreement*” means this Operating Agreement, as amended from time to time.

“*Capital Account*” means the account to be maintained by the Company for each Interest Holder in accordance with the provisions of Regulation Section 1.704-1(b). All provisions of this Agreement relating to the maintenance of Capital Accounts shall be interpreted and applied in a manner consistent with Regulation Section 1.704-1(b).

“*Capital Contribution*” means the total amount of cash and the fair market value of any other assets contributed (or deemed contributed under Regulation Section 1.704-1(b)(2)(iv)(d)) to the Company by an Interest Holder, net of liabilities assumed or to which the assets are subject.

“*Cash Flow*” means all cash funds derived from operations of the Company (including interest received on reserves), without reduction for any noncash charges, but less cash funds used to pay current operating expenses and to pay or establish reasonable reserves for future expenses, debt payments, capital improvements, replacements and reasonable needs of the business as determined by the sole discretion of the Managers.

“Code” means the Internal Revenue Code of 1986, as amended, or any corresponding provision of any succeeding law.

“Company” means the limited liability company formed in accordance with this Agreement.

“Depreciation” means for each fiscal year or other period, an amount equal to the depreciation, amortization or other cost recovery deduction allowable with respect to an asset for such year or other period, except that if the fair market value of such asset differs from its adjusted basis for federal income tax purposes at the beginning of such year or other, Depreciation shall be an amount which bears the same ratio to such beginning fair market value as the federal income tax depreciation, amortization, or other cost recovery deduction for such year or other period bears to such beginning adjusted tax basis.

“Interest Holder” means any Person who holds a Unit, whether as a Member or as an unadmitted assignee of a Member. An Interest Holder who is an unadmitted assignee shall be entitled to receive the distributions and the allocations of income, gain, loss, deduction, credit or similar items, allocable to the Units held, provided, however, an Interest Holder shall not be entitled to vote on matters coming before the Members for vote unless and until admitted as a Member.

“Involuntary Withdrawal” means, with respect to any Member, the occurrence of any of the following events:

- (i) the Member makes an assignment for the benefit of creditors;
- (ii) the Member files a voluntary petition of bankruptcy;
- (iii) the Member is adjudged bankrupt or insolvent or there is entered against the Member an order for relief in any bankruptcy or insolvency proceeding;
- (iv) the Member seeks, consents to, or acquiesces in the appointment of a trustee for, receiver for, or liquidation of the Member or of all or any substantial part of the Members properties resulting in a distribution of any Units or any interest in any Units, directly or indirectly, to a Person that is not a Member;
- (v) any judicial order is entered, or execution process is issued, or operation of law affecting the Member, which would require a sale, hypothecation, pledge, assignment, disposition, partition or other transfer of any Units or any interest in any Units, directly or indirectly, to a Person that is not a Member.
- (vi) if the Member is acting as a Member by virtue of being a trustee of a trust, the termination of the trust and distribution of Units or an interest in any Units, directly or indirectly, to a Person that is not a Member;
- (vii) if the Member is a partnership or limited liability company, the dissolution and commencement of winding up of the partnership or limited liability company resulting in distribution of Units or an interest in any Units, directly or indirectly, to a Person that is not a Member;

(viii) if the Member is a corporation, the dissolution of the corporation or the revocation of its charter resulting in distribution of Units or an interest in any Units, directly or indirectly, to a Person that is not a Member;

(ix) if the Member is an estate, the distribution by the fiduciary of all or a portion of the estate's Units or interest in any Units, directly or indirectly, to a Person that is not a Member.

“*LLC Law*” means the Louisiana Limited Liability Company Law, as amended from time to time.

“*Manager*” means the Person(s) designated as such in Article V.

“*Member*” means each Person signing this Agreement and any Person who subsequently is admitted as a member of the Company.

“*Percentage*” means, as to an Interest Holder, the number of Units owned by an Interest Holder divided by the total outstanding Units of the Company. The Member’s initial percentage is the percentage set forth after the Member’s name on Exhibit A, as amended from time to time, and, as to an Interest Holder who is not a Member, the Percentage of the Member whose Units have been acquired by such Interest Holder, to the extent the Interest Holder has succeeded to that Member’s Units.

“*Person*” means and includes an individual, corporation, partnership, association, limited liability company, trust, estate, or other entity.

“*Profit*” and “*Loss*” means, for each taxable year of the Company (or other period for which Profit or Loss must be computed), the Company’s taxable income or loss determined in accordance with Code Section 703(a) and the Regulations thereunder (for this purpose, all items of income, gain, loss or deduction required to be stated separately pursuant to Code Section 703(a)(1) shall be included in taxable income or loss), with the following adjustments:

(a) Any income of the Company that is exempt from federal tax and not otherwise taken into account in computing Profits or Losses pursuant to this definition shall be added to such taxable income or loss;

(b) Any expenditure of the Company described in Code Section 705(a)(2)(B) or treated as Code Section 705(a)(2)(B) expenditures pursuant to Regulations Section 1.704-1(b)(2)(iv)(i) and not otherwise taken into account in computing Profits and Losses pursuant to this Paragraph 1.15 shall be subtracted from such taxable income or loss;

(c) Upon an adjustment to the Adjusted Asset Value of any Company asset, the amount of such adjustment shall be taken into account as gain or loss from the disposition of such asset for purposes of computing Profits or Losses;

(d) Gain or loss resulting from any disposition of a Company asset with respect to which gain or loss is recognized for federal income tax purposes shall be computed by reference to

the Adjusted Asset Value of the property disposed of notwithstanding that the adjusted tax basis of such property differs from its Adjusted Asset Value;

(e) In lieu of depreciation, amortization or other cost recovery deductions taken into account in computing such taxable income or loss, there shall be taken into account Depreciation for such fiscal year or other period, computed in accordance with the Regulations.

“*Regulation*” means the income tax regulations, including any temporary regulations, from time to time promulgated under the Code.

“*Secretary*” means the Secretary of State of Louisiana.

“*Transfer*” means, when used as a noun, any voluntary or involuntary sale, hypothecation, encumbrance, pledge, assignment, disposition, or other transfer, and, when used as a verb, means voluntarily or involuntarily to sell, hypothecate, encumber, pledge, assign dispose of, or otherwise transfer.

“*Unit*” means a share of the economic right of ownership in the Company and in the Profits and Losses of, and the right to receive distributions and allocations from, the Company, as reflected by the percentages of each Member set forth on Exhibit A, incorporated herein by reference, as the same may be amended from time to time.

“*Voluntary Withdrawal*” means a Member’s disassociation with the Company by means other than a Transfer or an Involuntary Withdrawal.

“*Voting Power*” means the right vested, by law, this Agreement or by the Articles of Organization, in the Members to vote the number of Units held by the Members in determining any particular question or matter coming before the Members. Fractional Units shall be allowed to correspond to the Percentages of each Member or Interest Holder. Voting shall be equal among the Members and each Member shall be entitled to one vote on each matter coming before the Members for vote regardless of the number of Units or Percentages held by such Member. No Interest Holder shall be entitled to vote on any matter coming before the Members for vote unless and until admitted as a Member.

## ARTICLE II FORMATION AND NAME; OFFICE; PURPOSE; TERM

2.1. *Organization.* The parties shall organize a limited liability company pursuant to the LLC Law and the provisions of this Agreement and, for that purpose, have caused Articles of Organization to be executed and filed for record with the Secretary.

2.2. *Name of the Company.* The name of the Company shall be **HALL PROPERTY INVESTMENTS, LLC**. The Company may do business under that name and under any other name or names which the Managers select. If the Company does business under a name other than that set forth in its Articles of Organization, then the Company shall file a trade name certificate as required by law.

2.3. *Purpose.* The Company is organized to: (i) engage in any lawful activity for which liability companies may be formed under Chapter 22 and Title 12 of the Louisiana Revised Statutes Annotated; and (ii) do any and all other things determined by the Managers to be necessary, desirable or incidental to the foregoing purposes.

2.4. *Term.* The term of the Company shall begin upon the acceptance of Articles of Organization and initial report by the Secretary and shall continue in perpetuity, unless its existence is sooner terminated pursuant to Article XI of this Agreement.

2.5. *Registered Office.* The registered office of the Company in the State of Louisiana shall be located at 142 Nugent Rd, Pollock, Louisiana 71467, or at any other place within the State of Louisiana which the Manager(s) select.

2.6. *Registered Agent.* The name and address of the Company's registered agent in the State of Louisiana shall be **GeauxPlans RA**, 1902 Jackson Street, Alexandria, Louisiana 71301.

2.7. *Interest Holders.* The name, present address, and Percentage of each Interest Holder is set forth on Exhibit A.

2.8. *Election of Tax Entity Status.* For income tax purposes, the Company shall elect to be treated as a disregarded entity in the event of a single Member or a two Members who are legally married. The Company shall elect to be treated as a partnership in the event there are two or more Members who are not married to each other.

### ARTICLE III MEMBERS; CAPITAL; CAPITAL ACCOUNTS

3.1. *Initial Capital Contributions.* The initial Members of the Company are set forth on Exhibit A, attached to this Agreement, which includes the name and Percentage of each Member.

3.2. *Additional Assessments.*

3.2.1. No Interest Holder shall be required to contribute any additional capital to the Company, and no Interest Holder shall have any personal liability for any obligation of the Company.

3.3. *Return of Capital Contributions.* Except as otherwise provided in this Agreement, no Interest Holder shall have the right to receive any return of any Capital Contribution.

3.4. *Form of Return of Capital.* If an Interest Holder is entitled to receive a return of a Capital Contribution, the Interest Holder shall not have the right to receive anything but Cash in return of the Interest Holder's Capital Contribution.

3.5. *Capital Accounts.* A separate Capital Account shall be maintained for each Interest Holder.

3.6. *Preemptive Rights.* Interest Holders shall not have preemptive rights with respect to the issuance of additional Units.

3.7. *Loans.* Any Interest Holder may, at any time, make or cause a loan to be made to the Company in any amount and on those terms upon which the Company and the Interest Holder agree.

## **ARTICLE IV PROFIT, LOSS, AND DISTRIBUTIONS**

### *4.1. Allocations of Profit or Loss and Distributions of Cash Flow.*

4.1.1. *Profit or Loss.* Profit or Loss shall be allocated to the Interest Holders in proportion to their Percentages in accordance with generally accepted accounting principles, consistently applied. However, any Company Losses which cannot be allocated to one or more of the Interest Holders without creating a negative Capital Account shall be allocated to the remaining Interest Holders in proportion to their Capital Accounts. No Interest Holder has priority over any other Interest Holder as to Company Profits. Notwithstanding any other provision of this Agreement, income, gain, loss and deductions with respect to property contributed to the Company by an Interest Holder shall be shared among the Interest Holders so as to take account of any variation between the basis of the property so contributed and its fair market value at the time of contribution, in accordance with any applicable Regulation.

4.1.2. *Cash Flow.* The Managers, in their sole discretion, shall determine the extent to which the Company will distribute Cash Flow to the Interest Holders at least annually. All distributions of Cash Flow to the extent made pursuant to this Section shall be distributed to the Interest Holders in proportion to their relative positive Capital Account balances at the time of such distribution.

4.2. *Special Allocations - Arising from Certain Elections.* To the extent an adjustment of the adjusted tax basis of any Company asset pursuant to Code section 734, 732 or 743 is required, pursuant to Regulations section 1.704-1(b)(2)(iv)(m), to be taken into account in determining Capital Accounts, the amount of such adjustment to the Capital Accounts shall be treated as an item of gain (if the adjustment increases the basis of the asset) or loss (if the adjustment decreases such basis) and such gain or loss shall be specially allocated to the Interest Holders in a manner consistent with the manner in which their Capital Accounts are required to be adjusted pursuant to the foregoing Regulations section.

4.3. *Qualified Income Offset.* If any Interest Holder unexpectedly receives any adjustments, allocations or distributions described in Regulations Section 1.704-1(b)(2)(ii)(d)(4), (5) or (6), such Interest Holder shall be allocated items of income or gain in an amount and manner sufficient to eliminate any resulting deficit in the Interest Holder's Capital Account as quickly as possible. Any special allocations pursuant to the previous sentence shall be taken into account to the extent possible in making subsequent allocations of Profits and Losses so that the net cumulative amounts allocated shall be equal to the net cumulative amounts that would have been allocated in the absence of the previous sentence. This Section 4.3 is intended to be qualified income offset provision as described in Regulations Section 1.704-(b)(2)(ii)(d) and shall be interpreted in a manner consistent therewith.

4.4. *Interest Holders of Record.* All Profit and Loss shall be allocated, and all distributions shall be made to the Persons shown on the records of the Company to have been Interest Holders as of the last day of the taxable year for which the allocation or distribution is to be made. Notwithstanding the foregoing, unless the Company's taxable year is separated into segments, if there is a Transfer or an Involuntary Withdrawal during the taxable year, the Profit and Loss shall be allocated between the original Interest Holder and the successor on the basis of the number of days each was an Interest Holder during the taxable year.

4.5. *Timing of Distributions.* Except as otherwise provided in this Agreement, the Managers, in their sole discretion, shall determine the timing and amounts of all distributions pursuant to this Agreement.

4.6. *Amendment Compliance.* The Managers are hereby authorized, upon the advice of the Company's tax counsel, to amend this Article to comply with the Code and the Regulations promulgated under Code Section 704(b); provided, however, that no amendment shall materially affect distributions to an Interest Holder without the Interest Holder's prior written consent.

## **ARTICLE V**

### **MANAGERS: RIGHTS, POWERS, AND DUTIES**

5.1. *Managers.* The Company shall be managed by Managers, who shall be Members. The number of Managers shall be established from time to time by a majority of the Voting Power then held by the Members. **Zachery J. Hall** and **Erin M. Watson-Hall** are hereby designated to serve as the sole Managers, who shall serve until the resignation, removal from office or death of the Manager.

5.2. *Term, Election and Removal of Managers.*

5.2.1. Each Manager shall hold office until his, her, or its successor is elected, or such Manager's resignation, removal from office, death or dissolution.

5.2.2. Following the death, resignation or removal of a Manager, a successor Manager shall be elected by the vote of at least a majority of the Voting Power then held by Members.

5.2.3. The Managers may resign at any time by providing an oral statement to that effect at a meeting of the Managers or by submitting a writing to that effect to any Members. Such resignation shall take effect immediately or at such other time as such Manager(s) may specify.

5.2.4. The Members, at any time and from time to time and for any reason, may remove the Manager(s) then acting by a vote of a majority of the Voting Power then held by Members, and elect a new Manager(s) as set forth above in Section 5.2.2.

5.2.5. The Managers' compensation, if any, shall be determined by the Members by vote of at least a majority of the Voting Power then held by Members. Upon substantiation of the amount and purpose thereof, the Managers shall be entitled to reimbursement for expenses reasonably incurred in connection with the activities of the Company.

5.3. *Powers and Authority.*

5.3.1. Subject only to the restrictions contained in this Agreement, the Managers shall have full and complete authority to manage and direct the affairs of the Company including, without limitation, the authority and power to:

5.3.1.1 sell real or personal property to any person, giving any warranties or assurances deemed appropriate;

5.3.1.2 buy, lease or otherwise acquire real or personal property to carry on and conduct the Company's business;

5.3.1.3 borrow money for the Company's business;

5.3.1.4 issue promissory notes and other debt instruments (negotiable or nonnegotiable), in any amounts and secured by any encumbrances on all or any part of the Company's assets;

5.3.1.5 assign any debts owing to the Company;

5.3.1.6 engage in any other means of financing;

5.3.1.7 enter into any agreement for sharing of profits and joint venture with any person or entity engaging in any business or venture in which this Company may engage;

5.3.1.8 manage, administer, conserve, improve, develop, operate, lease, utilize, and defend the Company's assets, whether movable or immovable, directly or through third parties;

5.3.1.9 employ all types of agents and employees (including lawyers and accountants) as may seem proper;

5.3.1.10 buy or otherwise obtain the use of any type of equipment or other property that may be convenient or advisable in connection with any Company business;

5.3.1.11 incur any reasonable expense for travel, telephone, telegraph, insurance, taxes, and such other things, in carrying on the Company's business;

5.3.1.12 sue and be sued, complain and defend in the Company's name of and on its behalf;

5.3.1.13 quitclaim, release or abandon any Company assets without consideration;

5.3.1.14 open up bank accounts or investment accounts in the name of the Company, which may be signed by any person authorized by the Managers;

5.3.1.15 take title to Company assets in the name of a nominee for purposes or convenience; provided, however, that all Members are given notice of the name and address of the nominee and the description of the asset;

5.3.1.16 acquire insurance on the assets of the Company and the Managers for the protection of the Company;

5.3.1.17 make all elections required or permitted to be made by the Company under the Code, including Code Section 734, 743, 754, as will, in the Manager's discretion, be most advantageous to a majority in interest of the Members;

5.3.1.18 acquire property to obtain services from a Manager, or from companies or persons associated or affiliated with a Manager;

5.3.1.19 pay any and all organizational expenses incurred in the creation of the Company, including costs and fees, and any expenses in connection with the management, operation and protection of the Company;

5.3.1.20 execute any and all other instruments and documents which may be necessary or in the opinion of the Managers desirable to carry out the intent and purpose of this Agreement, including, but not limited to, documents whose operation and effect extend beyond the term of the Company;

5.3.1.21 make any and all expenditures which the Managers, in their sole discretion, deems necessary or appropriate in connection with the management of the affairs of the Company and the carrying out of its obligations and responsibilities under this Agreement, including, without limitation, all legal, accounting, and other related expenses incurred in connection with the organization and financing and operation of the Company;

5.3.1.22 enter into any kind of activity necessary to, in connection with, or incidental to, the accomplishment of the purposes of the Company; and

5.3.1.23 invest and reinvest Company reserves in short-term instruments or money market funds.

5.3.2. *Extraordinary Transactions.* Notwithstanding anything to the contrary in this Agreement, the Managers shall not undertake any of the following without the approval the Members:

5.3.2.1 The dissolution and winding up of the Company;

5.3.2.2 The sale, exchange, lease, mortgage, pledge, or other transfer of all or substantially all of the assets of the Company;

5.3.2.3 The merger or consolidation of the Company

5.3.3. *Obligations.* The Managers shall manage and cause to be managed the affairs of the Company in a prudent and businesslike manner and shall devote such time to the Company affairs

as they shall, in their discretion exercised in good faith, determine is reasonably necessary for the conduct of such affairs; provided, however, that it is expressly understood and agreed that the Managers shall not be required to devote their entire time or attention to the business of the Company. In carrying out their obligations, the Managers shall:

5.3.3.1 Obtain and maintain such public liability, hazard and other insurance as may be deemed necessary or appropriate by the Manager(s).

5.3.3.2 Prepare and distribute to all Interest Holders tax reporting information.

5.3.3.3 Notify all Interest Holders of receipt of any notice of default from any lender, within ten (10) days after receipt of such notice.

5.3.3.4 Cause to be filed such certificates and do such other acts as may be required by law to qualify and maintain the Company as a limited liability company under all applicable state laws.

5.4. *Agency Power of Managers.* Each Manager is a mandatary of the Company for all matters in the ordinary course of its business.

5.5. *Voting By Managers.* On all matters which must be brought before the Manager(s) for vote, each Manager shall be entitled to a single vote and the Managers shall act to exercise the powers stated herein by vote of a majority of the Managers then in office.

5.6. *Meeting of Managers.*

5.6.1. *Electronic Meetings.* The Managers may hold a meeting by means of telephone conference or other electronic communications equipment provided that all persons participating can hear and communicate with each other.

5.6.2. *Regular Meetings.* Regular meetings of the Managers shall be held at such times as the Managers may from time to time determine. Notice of regular meetings of the Managers shall be required, but no special form of notice or time of notice shall be necessary.

5.6.3. *Special Meetings.* Special meetings of the Managers may be called at any time by any Manager. Special meetings may be held at such place or places within or outside Louisiana as may be designated by the Manager calling the meeting. Notice of special meetings of the Managers shall be required, but no special form of notice or time of notice shall be necessary.

5.6.4. *Notice of Meetings.* Any Manager present at a meeting shall be deemed to have received and waived notice of such meeting, provided, however, that notice of a meeting may be waived in writing at any time without specifying in such waiver the purpose of or the business transacted at such meeting.

5.6.5. In the event an insufficient number of Managers attend a regular or special meeting which would be necessary to vote in favor of the action contemplated to be taken by the Managers, the action will be considered to have been defeated.

5.6.6. *Action By Written Instrument of Managers.* Any action which may be taken by the Managers of the Company may be effected by an instrument in writing signed by that percentage or number in interest of the Managers which is required to accomplish the action, which shall be effective upon execution. A copy of the action so taken shall be placed in the Company's records and shall be mailed to the non-signatory Managers.

5.7. *Liability.* The Managers shall not be liable, responsible, or accountable in damages or otherwise to the Company or to any Interest Holder for any action taken or any failure to act on behalf of the Company within the scope of the authority conferred on the Managers by this Agreement or by law, unless the action or omission constituted gross negligence (as defined in Section 1314(C) of the LLC Law), or the Managers are engaged in any conduct which demonstrates a greater disregard of the duty of care (as defined in Section 1314(A) of the LLC Law) than gross negligence, including but not limited to intentional tortious conduct or intentional breach of his duty of loyalty.

5.8. *Life Insurance.* No Manager or Member may exercise any incident of ownership, or participate in any act or decisions giving rise thereto, with respect to a Company-owned life insurance on his or her life.

## **ARTICLE VI OFFICERS AND COMMITTEES**

6.1. *Officers.* The Managers by vote of a majority of the Managers then in office may elect officers such officers and assistant officers as deemed appropriate, which officers or assistant officers shall be Managers. The terms of any officers so elected shall be established from time to time by the Managers.

6.1.1. None of the officers, if so elected, shall be compensated for their services without prior written consent of the Managers, but the Managers may authorize that they be reimbursed reasonable expenses which are necessarily incurred by them in the performance of their offices, provided, however, any such reimbursement shall be made in accordance with an established policy set forth by the Managers.

6.2. *Committees.* The Managers may create such standing or special committees as deemed necessary to promote the purposes and carry on the work of the Company.

## **ARTICLE VII MEMBERS: RIGHTS, POWERS AND DUTIES**

7.1. *Limitation on Authority and Rights of Members.*

7.1.1. Except as otherwise specifically provided in this Agreement or the Articles of Organization, no Member is an agent of the Company solely by virtue of being a Member, and no Member has authority to act for the Company solely by virtue of being a Member.

7.1.2. This Section 7.1 supersedes any authority granted to the Members pursuant to Section 1318(B) of the LLC Law. Any Member who attempts to take any unauthorized action on behalf of the Company in violation of this Section 7.1 shall be solely responsible for any loss and expense incurred by the Company as a result of the unauthorized action and shall indemnify and hold the Company harmless with respect to the loss or expense.

7.1.3. Except as otherwise specifically provided in this Agreement to the contrary, no Interest Holder shall have the right:

7.1.3.1 To have his or her capital contribution repaid;

7.1.3.2 To require partition of the Company's property or to compel any sale or appraisal of the Company's assets;

7.1.3.3 No Interest Holder shall be personally accountable for any of the debts, losses, claims, judgments or any of the liabilities of the Company beyond the Interest Holder's contributions to the capital of the Company, except as provided by law.

7.2. *Meetings of and Voting by Members.*

7.2.1. *Member Meetings.* A meeting of the Members may be called at any time by the Managers, or by Members holding at least a majority of the Voting Power then held by Members. Meetings of the Members of the Company shall be held at such place, either within or without the State of Louisiana, and at such time as may be designated by the Person(s) calling the meeting and specified in the notice of such meeting.

7.2.2. *Notice of Annual or Special.* Notice of meetings of the Members shall be required, but no special form of notice or time of notice shall be necessary. Notwithstanding the foregoing provisions, each Member who is entitled to notice waives notice if before or after the meeting the Member signs a waiver of the notice which is filed with the records of Members' meetings, or is present at the meeting in person or by proxy.

7.2.3. *Quorum.* Except as may be otherwise provided by law or the Articles of Organization:

7.2.3.1 Each Member shall be entitled to vote on all questions presented in accordance with the Voting Power of that Member then held; and

7.2.3.2 The holders of a majority of the Voting Power then held by Members, present in person or by proxy, shall constitute a quorum necessary for any meeting of the Members to occur.

7.2.4. *Proxies.* A Member may vote either in person or by written proxy signed by the Member or by the Member's duly authorized attorney-in-fact. The person appointed as proxy must be a Member. Unless the writing appointing a proxy otherwise provides, the presence at a meeting of the person who appointed a proxy shall not operate to revoke the appointment. Notice to the Company, in writing or in open meeting, of the revocation of the appointment of a proxy shall not affect any vote or action previously taken or authorized.

7.2.5. *Electronic Meetings.* The Members may hold a meeting by means of telephone conference or other electronic communications equipment provided that all persons participating can hear and communicate with each other.

7.2.6. *Action By Members.* Except as otherwise provided in this Agreement, the affirmative vote of Members holding at least a majority of the Voting Power then held by Members shall be required to approve any matter coming before the Members.

7.2.7. *Action By Written Instrument of Members.* Any action which may be taken by the Members of the Company may be effected by an instrument in writing signed by Members holding at least that percentage of the Voting Power which is required to accomplish the action, which shall be effective upon execution. A copy of the action so taken shall be placed in the Company's records and shall be mailed to the non-signatory Members.

7.2.8. Except as otherwise provided in this Agreement, wherever the LLC Law requires unanimous consent to approve or take any action, that consent shall mean, in all cases, rather than the consent of all Members, the consent of Members holding a majority or more of the Voting Power then held by Members.

7.2.9. Notwithstanding anything else in this Article, the approval of the Members by a vote of majority of the Voting Power then held by Members will be required for the following matters:

7.2.9.1 The dissolution and winding up of the Company;

7.2.9.2 The sale, exchange, lease, mortgage, pledge, or other transfer of all or substantially all of the assets of the Company; and

7.2.9.3 The merger or consolidation of the Company.

7.3. *Personal Services.* No Member shall be required to perform services for the Company solely by virtue of being a Member. Unless approved by the Managers, no Member shall perform services for the Company or be entitled to compensation for services performed for the Company.

7.4. *Duties of Parties.*

7.4.1. Nothing in this Agreement shall be deemed to restrict in any way the rights of any Interest Holder, or of any Affiliate of any Interest Holder, to conduct any other business or activity whatsoever, and no Interest Holder shall be accountable to the Company or to any other Interest

Holder with respect to that business or activity except to the extent the business or activity competes with the business.

7.4.2. Each Interest Holder understands and acknowledges that the conduct of the Company's business may involve business dealings and undertakings with Interest Holders and their Affiliates. In any of those cases, those dealings and undertakings shall be at arm's length and on commercially reasonable terms.

## **ARTICLE VIII INDEMNIFICATION**

8.1. *Third party actions.* The Company shall indemnify any Manager or Member who is or was a party, or who is threatened to be made a party, to any threatened, pending or completed action, suit or proceeding, whether civil, criminal, administrative or investigative, including all appeals, by reason of the fact that he or she is or was a Member, Manager or employee of the Company, or is or was serving at the request of the Company as a director, trustee, officer or employee of another limited liability company, corporation, partnership, joint venture, trust or other enterprise, against any and all expenses (including reasonable attorneys' fees), judgments, decrees, fines, penalties and amounts paid in settlement, which were actually and reasonably incurred by him or her in connection with such action, suit or proceeding; except that no indemnification shall be made with respect to any claim, issue or matter as to which such person was grossly negligence (as defined in Section 1314(C) of the LLC Law), or engaged in conduct which demonstrates a greater disregard of the duty of care (as defined in Section 1314(A) of the LLC Law) than gross negligent, including but not limited to intentional tortious conduct or intentional breach of his or her duty of loyalty.

8.2. *Derivative actions.* The Company shall indemnify any Manager or Member who is or was a party, or who is threatened to be made a party, to any threatened, pending or completed action or suit, including all appeals, by or on behalf of the Company in order to procure a judgment in its favor by reason of the fact that he or she is or was a Member of the Company against any and all expenses (including reasonable attorneys' fees) which were actually and reasonably incurred by him or her in connection with the defense and settlement of such action or suit, except no indemnification shall be made with respect to any claim, issue or matter as to which such person was grossly negligent (as defined in Section 1314(C) of the LLC Law), or engaged in conduct which demonstrates a greater disregard of the duty of care (as defined in Section 1314(A) of the LLC Law) than gross negligence, including but not limited to intentional tortious conduct or intentional breach of his or her duty of loyalty.

8.3. *Rights after successful defense.* To the extent that a Manager or Member has been successful on the merits or otherwise in defense of any action, suit or proceeding referred to in Sections 8.1 and 8.2, or in defense of any claim, issue or matter therein, he or she shall be indemnified against expenses (including reasonable attorneys' fees) actually and reasonably incurred by him or her in connection therewith.

8.4. *Other determination of rights.* Except in a situation governed by Section 8.3 of this Article, any indemnification under Section 8.1 or 8.2 of this Article (unless ordered by a court) shall be made

by the Company only as authorized in a specific case upon a determination that indemnification of the Manager or Member is proper under the circumstances because he or she has met the applicable standard of conduct set forth in Section 8.1 or 8.2. Such determination shall be made by a vote of Members holding at least a majority of the Voting Power then held by Members, or if such vote is unobtainable, by legal counsel (compensated by the Company) in a written opinion.

8.5. *Advances of expenses.* Expenses of each person indemnified hereunder, which were incurred in defending against a civil, criminal, administrative or investigative action, suit or proceeding (including all appeals), or threat thereof, may be paid by the Company in advance of the final disposition of such action, suit or proceeding, if authorized by the Members (whether disinterested or not) following receipt of a written promise by or on behalf of the Manager or Member to repay such amount unless it shall ultimately be determined that he or she is entitled to be indemnified by the Company.

8.6. *Nonexclusiveness.* The indemnification provided by this Article shall not be deemed exclusive of any other rights to which those seeking indemnification may be entitled as a matter of law.

8.7. *Purchase of insurance.* The Company may purchase and maintain insurance on behalf of any person who is a Manager or Member of the Company against any liability asserted against him or her and incurred by him or her in any such capacity, or arising out of his or her status as such, whether or not the Company would have the power to indemnify him or her against such liability under the provisions of this Article or of the laws of the State of Louisiana.

## **ARTICLE IX**

### **TRANSFER OF UNITS AND WITHDRAWALS OF MEMBERS**

9.1. *Transfers.* No Interest Holder may Transfer all or any portion of any interest or rights in the Interest Holder's Units except in accordance with the following terms of this Article IX, or with the prior written consent of at least a majority of the Voting Power then held by Members. No attempted Transfer of any interest or rights in the Interest Holder's Units not in accordance with the terms and conditions of this Article IX or prior written consent of at least a majority of the Voting Power then held by Members shall be valid or reflected on the books of the Company.

9.2. *Admission of Transferee as Member.* The transferee of all or any portion of any interest or rights in any Units shall not be entitled to become a Member, unless admitted as a Member pursuant to Article X. Unless and until admitted as a Member, the transferee shall be entitled to receive (i) liquidating and distribution proceeds, and (ii) the allocations of income, gain, loss, deduction, credit or similar items, to which the transferor would be entitled, but shall not be entitled to vote with respect to any Units received.

9.3. *Voluntary Withdrawal.* No Member shall have the right or power to Voluntarily Withdraw from the Company, and no Member shall have the right to receive in liquidation of the Units, pursuant to Section 1325(C) of the LLC Law, the fair market value of the Member's Units as of the date the Member withdrew from the Company.

9.4. *Involuntary Withdrawal.* upon the occurrence of an Involuntary Withdrawal, the withdrawn Member, or the successor of the withdrawn Member, as the case may be, shall thereupon become an Interest Holder but shall not be or become a Member, unless and until admitted or readmitted as a Member pursuant to Section 9.4, above. The withdrawn Member, or successor Interest Holder, as the case may be, shall have all the rights of an Interest Holder but shall not be entitled to receive in liquidation of the Units, pursuant to Section 1325(C) of the LLC Law, the fair market value of the Member's Units as of the date the Member involuntarily withdrew from the Company. Any Transfer or purported Transfer of a Unit or interest in any Unit as a result of an Involuntary Withdrawal not in strict compliance with the terms, provisions, and conditions of this Section and other terms, provisions, and conditions of this Agreement, shall be null and void and of no force or effect.

## **ARTICLE X ADMISSION OF NEW MEMBERS**

10.1. *New Members.* Except as provided above in Section 9.2, above, a new Member may be admitted into the Company only if:

10.1.1. Approved by at least a majority of the Voting Power then held by Members;  
and

10.1.2. Said new Member executes such instruments as the Managers determine are necessary or desirable to effect such admission and to confirm the agreement of the Person being admitted to be bound by all of the covenants, terms and conditions of this Agreement then in effect. The new Member shall receive a capital interest and an interest in the net profits and distributions of the Company in accordance with the Units acquired by the new Member and as determined by the Managers.

## **ARTICLE XI DISSOLUTION, LIQUIDATION, AND TERMINATION OF THE COMPANY**

11.1. *Events of Dissolution.* The Company shall be dissolved upon the happening of any of the following events:

11.1.1. upon the affirmative vote of a majority of the Voting Power then held by Members; or

11.1.2. entry of a decree of judicial dissolution under Section 1335 of the LLC Law.

11.2. *Procedure for Winding Up and Dissolution.* If the Company is dissolved, the Managers shall wind up its affairs. On winding up of the Company, the assets of the Company shall be distributed, first, to creditors of the Company, including Interest Holders who are creditors, in satisfaction of the liabilities of the Company, and then to the Interest Holders in accordance with their Percentages.

11.3. *Filing of Certificate that Company Has Been Liquidated and Dissolved.* If the Company is dissolved, the Managers shall promptly file with the Secretary that certificate described in Section 1340(A)(1). If there is no Manager, then the certificate shall be filed by the remaining Members; if there are no remaining Members, the certificate shall be filed by the last Person to be a Member; if there is no Manager, remaining Members, or a Person who last was a Member, the Certificate shall be filed by the legal or personal representatives of the Person who last was a Member.

## **ARTICLE XII**

### **BOOKS, RECORDS, ACCOUNTING, AND TAX ELECTIONS**

12.1. *Bank Accounts.* All funds of the Company shall be deposited in a bank account or accounts opened in the Company's name. The Managers shall determine the institution or institutions at which the accounts will be opened and maintained, the types of accounts, and the Persons who will have authority with respect to the accounts and the funds therein.

12.2. *Books and Records.*

12.2.1. The Managers shall keep or cause to be kept complete and accurate books and records of the Company and supporting documentation of the transactions with respect to the conduct of the Company's business. The records shall include, but not be limited to, complete and accurate information regarding the state of the business and financial condition of the Company for the last three most recent years; a copy of the Articles of Organization and Operating Agreement, and all amendments thereto; a current list of the names and last known business, residence, or mailing addresses of all Interest Holders; and the Company's federal, state, and local tax returns for the last three (3) most recent years.

12.2.2. The books and records shall be maintained in accordance with sound accounting practices and shall be available at the Company's principal office for examination only by Members or the Members' duly authorized representative at any and all reasonable times during normal business hours.

12.2.3. Each Member shall reimburse the Company for all costs and expenses incurred by the Company in connection with the Member's inspection and copying of the Company's books and records.

12.3. *Annual Accounting Period.* The annual accounting period of the Company shall be its taxable year. The Company's taxable year shall be selected by the Managers, subject to the requirements and limitations of the Code.

12.4. *Reports.* Within seventy-five (75) days after the end of each taxable year of the Company, the Managers shall cause to be sent to each Person who was a Member at any time during the taxable year then ended: (i) an annual Compilation report, prepared by the Company's independent accountants in accordance with standards issued by the American Institute of Certified Public Accountants; and (ii) a report summarizing the fees and other remuneration paid by the Company to any Member, the Manager, or any Affiliate in respect of the taxable year. In addition, within seventy-five (75) days after the end of each taxable year of the Company, the Managers shall cause to be sent

to each Person who was an Interest Holder at any time during the taxable year then ended, that tax information concerning the Company which is necessary for preparing the Interest Holder's income tax returns for that year. At the request of any Member, and at the Member's expense, the Managers shall cause an audit of the Company's books and records to be prepared by independent accountants for the period requested by the Member.

12.5. *Tax Matters Agent.* The Manager shall from time to time designate a tax matters agent. Zachery J. Hall shall be the Company's Tax Matters Agent. The Tax Matters Agent shall have all powers and responsibilities provided in Code Section 6221, et seq. The Tax Matters Agent shall keep all Members informed of all notices from government taxing authorities which may come to the attention of the Tax Matters Agent. The Company shall pay and be responsible for all reasonable third-party costs and expenses incurred by the Tax Matters Agent in performing those duties. A Member shall be responsible for any costs incurred by the Member with respect to any tax audit or tax-related administrative or judicial proceeding against any Member, even though it relates to the Company. The Tax Matters Agent shall not compromise any dispute with the Internal Revenue Service without the approval of the Managers

12.6. *Tax Elections.* The Managers shall have the authority to make all Company elections permitted under the Code, including, without limitation, elections of methods of depreciation and elections under Code Section 754. The decision to make or not make an election shall be at the Manager's sole and absolute discretion.

12.7. *Title to Company Property.*

12.7.1. Except as provided in Section 12.7.2, all property (whether movable or immovable, corporeal or incorporeal) acquired by the Company shall be acquired and held by the Company in its name.

12.7.2. The Managers may direct that legal title to all or any portion of the Company's property be acquired or held in a name other than the Company's name. Without limiting the foregoing, the Managers may cause title to be acquired and held in its name or in the names of trustees, nominees, or straw parties for the Company. It is expressly understood and agreed that the manner of holding title to the Company's property (or any part thereof) is solely for the convenience of the Company and all of that property shall be treated as Company property.

## **ARTICLE XIII AMENDMENTS**

Operating Agreement may be amended by the affirmative vote of a majority of the Voting Power then held by Members.

## ARTICLE XIV GENERAL PROVISIONS

14.1. *Assurances.* Each Interest Holder shall execute all certificates and other documents and shall do all such filing, recording, publishing, and other acts as the Managers deem appropriate to comply with the requirements of law for the formation and operation of the Company and to comply with any laws, rules, and regulations relating to the acquisition, operation, or holding of the property of the Company.

14.2. *Notifications.* Any notice, demand, consent, election, offer, approval, request, or other communication (collectively a “notice”) required or permitted under this Agreement must be in writing and either delivered personally or sent by certified or registered mail, postage prepaid, return receipt requested. Any notice to be given hereunder by the Company shall be given by the Manager. A notice must be addressed to an Interest Holder at the Interest Holder’s last known address on the records of the Company. A notice to the Company must be addressed to the Company’s principal office. A notice delivered personally will be deemed given only when acknowledged in writing by the person to whom it is delivered. A notice that is sent by mail will be deemed given three (3) business days after it is mailed. Any party may designate, by notice to all of the others, substitute addresses or addressees for notices; and, thereafter, notices are to be directed to those substitute addresses or addressees.

14.3. *Specific Performance.* The parties recognize that irreparable injury will result from a breach of any provision of this Agreement and that money damages will be inadequate to fully remedy the injury. Accordingly, in the event of a breach or threatened breach of one or more of the provisions of this Agreement, any party who may be injured (in addition to any other remedies which may be available to that party) shall be entitled to one or more preliminary or permanent orders (i) restraining and enjoining any act which would constitute a breach or (ii) compelling the performance of any obligation which, if not performed, would constitute a breach.

14.4. *Complete Agreement.* This Agreement constitutes the complete and exclusive statement of the agreement among the Interest Holders. It supersedes all prior written and oral statements, including any prior representation, statement, condition, or warranty.

14.5. *Applicable Law.* All questions concerning the construction, validity, and interpretation of this Agreement and the performance of the obligations imposed by this Agreement shall be governed by the internal law, not the law of conflicts, of the State of Louisiana.

14.6. *Section Titles.* The headings herein are inserted as a matter of convenience only and do not define, limit, or describe the scope of this Agreement or the intent of the provisions hereof.

14.7. *Binding Provisions.* This Agreement is binding upon, and inures to the benefit of, the parties hereto and their respective heirs, executors, administrators, personal and legal representatives, successors, and permitted assigns.

14.8. *Jurisdiction and Venue.* Any suit involving any dispute or matter arising under this Agreement may only be brought in the United States District Court for the Middle District of Louisiana or any Louisiana State Court having jurisdiction over the subject matter of the dispute or matter.

All Interest Holders hereby consent to the exercise of personal jurisdiction by any such court with respect to any such proceeding.

14.9. *Terms.* Common nouns and pronouns shall be deemed to refer to the masculine, feminine, neuter, singular, and plural, as the identity of the Person may in the context require.

14.10. *Separability of Provisions.* Each provision of this Agreement shall be considered separable, and if, for any reason, any provision or provisions herein are determined to be invalid, illegal, or unenforceable, the same shall not impair the operation of or affect any other portions of this Agreement, and this Agreement shall be construed as if such invalid, illegal, or unenforceable provisions had never been contained herein. Notwithstanding the foregoing, however, no provision shall be severed if it is clearly apparent under the circumstances that the parties would not have entered into this Agreement without such provision.

14.11. *Counterparts.* This Agreement may be executed simultaneously in two or more counterparts, each of which shall be deemed an original and all of which, when taken together, constitute one and the same document. The signature of any party to any counterpart shall be deemed a signature to, and may be appended to, any other counterpart.

14.12. *Estoppel Certificate.* Each Interest Holder shall, within ten (10) days after written request by the Manager, deliver to the requesting Person a certificate stating, to the Interest Holder's knowledge, that: (a) this Agreement is in full force and effect; (b) this Agreement has not been modified except by any instrument or instruments identified in the certificate; and (c) there is no default hereunder by the requesting Person, or if there is a default, the nature and extent thereof.

[REMAINDER OF PAGE LEFT BLANK INTENTIONALLY]

[SIGNATURES ON FOLLOWING PAGE]

**IN WITNESS WHEREOF**, the parties have executed, or caused this Agreement to be executed, under seal, effective as of the date set forth herein above.

**MEMBERS:**

By: \_\_\_\_\_  
**ZACHERY J. HALL**  
Its: Member

By: \_\_\_\_\_  
**ERIN M. WATSON-HALL**  
Its: Member

**MANAGERS:**

By: \_\_\_\_\_  
**ZACHERY J. HALL**  
Its: Manager

By: \_\_\_\_\_  
**ERIN M. WATSON-HALL**  
Its: Manager

CERTIFICATE: I hereby certify that the above persons constitute all of the Members and Managers of the Company as shown on the Company records on the date or dates set forth above.

DATED EFFECTIVE: \_\_\_\_\_, 2022

By: \_\_\_\_\_  
**ZACHERY J. HALL**  
Its: Manager

By: \_\_\_\_\_  
**ERIN M. WATSON-HALL**  
Its: Manager

## EXHIBIT A

| Name                                                        | Member or Interest Holder | Units | Percentages |
|-------------------------------------------------------------|---------------------------|-------|-------------|
| Erin M. Watson-Hall<br>142 Nugent Road<br>Pollock, LA 71467 | Member                    | 100   | 50.00%      |
| Zachery J. Hall<br>142 Nugent Road<br>Pollock, LA 71467     | Member                    | 100   | 50.00%      |
| Total:                                                      |                           |       | 100.00%     |